

PREMIUM RESOURCE · AI & FINANCE AUTOMATION

Copilot for Finance Setup and Usage Guide

A practical setup and usage guide for Microsoft Copilot in finance — licensing, Excel Agent Mode walkthroughs, Outlook and Teams workflows, and governance.

Setup & Licensing

Excel Agent Mode Walkthroughs

Outlook & Teams Workflows

Premium · €45

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BEFORE YOU START

Microsoft has iterated on Copilot for Finance several times within a single year — adding capabilities like Skills and new financial data connectors well after initial launch. Treat the feature specifics in this guide as directionally accurate rather than permanently fixed, and confirm current capabilities and licensing directly with Microsoft or your reseller before finalising a rollout plan.

SECTION 1

Copilot Setup Guide

Understanding the licensing layers, what Copilot can and cannot access, and how to prepare before a broader rollout.

Understanding the Licensing Layers

Copilot for finance is not one single licence — it's three layers that are easy to conflate when planning a rollout.

Layer	What It Includes	Where It Lives	Typical Owner
Core Microsoft 365 Copilot	AI chat and drafting embedded in Word, Excel, PowerPoint, Outlook, and Teams.	Standard M365 add-on licensing	IT / M365 admin
Microsoft 365 Copilot for Finance	Unlocks Finance Agents — Reconciliation Agent, Variance Analysis Agent — plus Finance Home.	Separate add-on license, on top of core Copilot	Finance systems team + IT

Layer	What It Includes	Where It Lives	Typical Owner
ERP Connectors	Live, two-way connections to Dynamics 365, SAP, and other systems via Copilot Studio.	Configured on the ERP side	ERP administrator

What Copilot Can and Cannot Access

Copilot operates entirely within your Microsoft 365 tenant and inherits your existing data governance, permissions, and compliance settings — it does not reach outside that boundary. Within Excel specifically, Copilot works with the open workbook plus any data you explicitly connect via financial data connectors. The broader Microsoft 365 Copilot assistant in Teams, Outlook, and chat can surface content from SharePoint and OneDrive that the signed-in user already has permission to view — nothing more, nothing less.

The real implication: Copilot doesn't create new access. It makes existing over-permissioning immediately visible and actionable, often for the first time — covered further in the Governance section.

Step-by-Step Initial Setup

- 1

Confirm licensing before you plan features around them

Verify with your M365 admin exactly which of the three layers above are active — several features in this guide simply won't appear without the correct license, and Microsoft has been actively re-bundling Copilot packaging through 2026.
- 2

Enable Copilot in the Microsoft 365 admin center

If not already active tenant-wide, your admin assigns Copilot licenses to specific users or groups rather than the whole organisation at once.
- 3

Add the Copilot for Finance experience in Excel if it isn't visible

If it doesn't appear automatically in your ribbon, go to Add-ins, search for “Copilot for Finance,” and add it manually.
- 4

Connect your ERP system, if licensed for Finance Agents

This requires your ERP administrator to configure the connection to Dynamics 365, SAP, or another supported system — budget real lead time here, it is rarely instant.
- 5

Set up financial data connectors inside Excel

Connect any licensed third-party data sources you plan to use — several require their own separate subscription beyond the Copilot licence itself.
- 6

Pilot with a small group before rolling out broadly

Test with a handful of finance users on real, but ideally non-sensitive, workbooks first to catch configuration issues before they reach the whole team.

Pre-Rollout Checklist

Work through this before enabling Copilot broadly for the finance team, not after.

- ☐ SharePoint and OneDrive permissions have been reviewed — Copilot will surface anything a user technically has access to.
- ☐ Sensitivity labels are applied to sensitive financial documents and models.
- ☐ A clear list exists of who has Finance Agent access versus core Copilot only.
- ☐ ERP connector permissions mirror existing segregation-of-duties controls, not broader access granted for convenience.
- ☐ A designated owner is responsible for monitoring Copilot usage and incidents in finance workflows.

SECTION 2

Excel Agent Mode Walkthroughs

What Agent Mode is, three practical walkthroughs, the financial data connectors available, and the trust features built to keep it reviewable.

What Agent Mode Is, and How It Differs From Standard Copilot Chat

Standard Copilot in Excel answers one request at a time — write this formula, explain this error, summarise this data. Agent Mode works differently: it takes a broader natural language instruction, plans a multi-step approach, executes that plan across the workbook, checks its own work, and reports back — behaving more like a junior analyst working through a brief than a single-turn assistant. You can then give follow-up instructions to refine the result rather than starting over.

Walkthrough 1 — Building a Financial Report From a Single Prompt

- 1 Open the workbook and the Copilot pane**
Agent Mode is currently most complete in Excel Online — confirm availability in desktop Excel for your specific tenant before relying on it there.
- 2 Select Agent Mode from the tools/mode selector**
This switches Copilot from single-response chat into its autonomous, multi-step planning behaviour.
- 3 Give a specific, detailed prompt rather than a vague one**
Name the structure, breakdown, and formatting you want — the more specific the brief, the less rework needed afterward.
- 4 Watch the reasoning pane as it plans and executes**
Agent Mode shows its plan — which formulas, sheets, and charts it intends to build — before or while carrying it out.
- 5 Review the output critically, not just the visual result**
Check the actual formulas used, not only whether the numbers look plausible — dynamic array formulas and cross-sheet references are common places for errors to hide.
- 6 Iterate with follow-up instructions**
Refine with specific asks such as “Add a trend line chart” or “Change the variances to percentages” rather than re-prompting from scratch.

EXAMPLE PROMPT

“Create a financial monthly close report for a bike shop business, including a breakdown of product lines and year-over-year growth. Use standard financial formatting and best practices.”

Walkthrough 2 — Variance Analysis With Agent Mode

- 1 Prompt with the specific comparison you want**
Name the periods, the accounts or departments, and what “explain the drivers” should mean in context.
- 2 Let Agent Mode build the variance table**
It will typically calculate both percentage and absolute differences and attempt to identify the largest contributing line items.
- 3 Push back on generic driver explanations**
Ask a specific follow-up — “Which accounts drove the marketing variance specifically?” — rather than accepting a surface-level summary.

4 Adjust materiality thresholds before sharing externally

Use multi-turn refinement to focus the analysis on what's genuinely material before it reaches stakeholders.

EXAMPLE PROMPT

"Analyse the variance between actual and budgeted expenses by department for this quarter, and explain the key drivers."

Know the limit: Agent Mode's explanation of "why" a variance occurred is limited to what's visible in the data itself — it cannot supply the operational context (a delayed contract, a pricing change) that a human analyst would know from conversations outside the spreadsheet.

Walkthrough 3 — Using Skills for Repeatable Monthly Tasks

A Skill is a saved, reusable set of instructions — stored as a markdown file and saved to OneDrive — that tells Copilot exactly how your team wants a recurring task done, so it doesn't need to be re-explained from scratch every period.

1 Identify a task your team repeats every period with a consistent structure

The monthly variance report or a recurring close step are typical candidates — anything you currently re-explain from scratch each time.

2 Document the exact steps, formatting, and structure you want followed

Write the brief the way you would for a new analyst joining the team, not as a vague intention.

3 Save this as a Skill file to OneDrive

Skills are stored as a markdown file (referred to as SKILL.md) that Copilot references automatically once saved.

4 Reference the Skill by name in future prompts

Instead of re-explaining the full process, name the skill and describe the current task — Copilot applies the predefined structure to the workbook's current data.

5 Refine the Skill over time

Update it as you notice gaps or edge cases it consistently handles poorly, the same way you'd refine any standard operating procedure.

Faster starting point: Third-party partners — including firms such as LSEG, Ramp, Rogo, and Vena — also publish their own pre-built Skills through Microsoft Marketplace, which can be quicker than building entirely from scratch.

Financial Data Connectors

Beyond your own ERP data, Copilot in Excel can connect directly to a growing list of third-party financial data providers, removing manual copy-paste from reports.

Connector	Typical Use
LSEG, S&P Global	Market data, fundamentals, and index data
Moody's	Credit ratings and risk data
FactSet, Morningstar	Investment research and analytics
PitchBook, CB Insights	Private market and company data
Daloopa	Structured historical financials

Check costs first: Several of these connectors require their own separate subscription in addition to your Copilot licence — confirm pricing before assuming a connector is included.

Trust & Traceability Features

- 1

Plan with Copilot

Before making changes, Copilot lays out exactly which ranges, formulas, and assumptions it's about to touch, giving you a chance to review or adjust the plan before anything actually changes.
- 2

Show Changes pane

After edits are made, this pane clearly tags what Copilot changed versus what a human collaborator changed — useful for both review and audit trail purposes.
- 3

Workbook rules

Capture structural conventions — naming, formatting, formula style — directly in the file so they travel with it and Copilot respects them consistently, even across different users.

The =COPILOT() Function

For simpler, cell-level tasks that don't need the full Agent Mode treatment, the **=COPILOT()** function generates content directly into a single cell using natural language, the same way any other Excel formula works.

EXAMPLE PROMPT

"=COPILOT("List of all 50 US states by their 2-letter code")"

This is best suited to quick lookups and content generation, not multi-step analysis.

Common Pitfalls & Review Discipline

Real-world testing by experienced Excel practitioners has found that Agent Mode can produce errors on first attempt, particularly with complex dynamic array formulas, and may need to be re-run or corrected. Treat Agent Mode output as a strong first draft from a capable but occasionally overconfident junior analyst — not a finished, review-free deliverable.

Common pitfall: Do not skip formula-level review because the output "looks right." Dynamic array formulas and cross-sheet references are exactly where visually convincing errors tend to hide.

SECTION 3

Outlook Integration Tips

Practical use cases for collections, high-volume stakeholder email, and ERP updates — without leaving your inbox.

Use Case 1 — Collections Email Management

Copilot can summarise a long email thread with a customer before you reply, saving you from re-reading an entire back-and-forth history. When connected to your ERP via Copilot for Finance, it can identify outstanding invoices for a specific customer and pull relevant account context directly into your drafting flow, then draft a personalised payment plan or follow-up based on actual payment history — which you review before sending.

EXAMPLE PROMPT

“Summarise my recent email thread with [customer] and draft a follow-up referencing their outstanding invoice and our standard 30-day payment terms.”

Use Case 2 — Managing High-Volume Stakeholder Email

Finance teams receive a disproportionate volume of email from auditors, investors, regulators, and internal stakeholders, often with dense, time-sensitive requests. Copilot can summarise incoming threads, draft first-pass responses, and flag action items — particularly useful heading into audit or reporting-heavy periods.

EXAMPLE PROMPT

“Summarise the key open items from this audit request thread and draft a response confirming which items I can provide by Friday.”

Use Case 3 — Updating ERP Records Without Leaving Outlook

Where Copilot for Finance connects to your ERP, some record updates — logging a customer interaction, updating a collections status — can be made directly from within Outlook rather than requiring a separate login and manual entry, reducing context-switching during a busy day.

Practical Tips

- ☐ Be specific about tone and constraints in drafting prompts (e.g. “firm but professional”) rather than accepting the first draft as final.
- ☐ Always review a Copilot-drafted external email in full before sending — a summarisation or drafting error to an auditor or investor carries real reputational cost.
- ☐ Use Outlook’s Copilot summarisation especially heading into month-end and audit periods when email volume peaks.

SECTION 4

Teams Finance Workflows

Meeting summaries, collections calls with Teams Phone, and designing workflows that hand off cleanly between tools.

Use Case 1 — Automatic Meeting Summaries & Action Items

Copilot in Teams can summarise a meeting's discussion into a structured list of decisions and action items automatically, removing the need for someone to take manual notes or produce a summary afterward. This is particularly valuable for recurring finance meetings — month-end review, forecast walkthroughs — where the same structure repeats every time.

Use Case 2 — Collections Calls With Teams Phone

For teams using Teams Phone for collections calls, Copilot can suggest conversation scripts based on company-defined procedures and the customer's financial context pulled from the ERP — helping less experienced collectors stay consistent with policy while still sounding natural.

EXAMPLE PROMPT

"Suggest a call script for a customer 45 days overdue on a \$12,000 invoice, following our standard collections escalation policy."

Use Case 3 — Cross-Tool Handoff

A typical finance workflow spans more than one tool in a single sitting: draft a call script in Copilot, refine and save it as a template in Word, make the call using Teams Phone with Copilot taking notes, then use Office Agent to draft a summary document referencing the associated emails and call notes for the file. Designing workflows around this handoff — rather than treating each tool in isolation — is where much of the real time saving comes from.

Practical Tips

- ☐ Confirm meeting recording and transcription consent policies with legal/compliance before relying on automatic summarisation for calls involving customers or external parties.
- ☐ Use suggested call scripts as a guide for less experienced team members, not a verbatim requirement for experienced ones — over-scripting can make collections conversations feel robotic.
- ☐ Save particularly effective Copilot-generated summaries as templates for recurring meeting types, similar to the Skills concept in Excel.

SECTION 5

Governance and Compliance Notes

The core governance principle, a pre-rollout checklist, and what changes in regulated environments or as agent adoption grows.

The Core Governance Principle

Copilot does not grant new access to data — it operates within your existing Microsoft 365 permission structure. The governance risk is not that Copilot creates new exposure, but that it makes existing over-permissioning immediately visible and actionable, often for the first time. A user who has technically had access to a sensitive folder for years, but never had reason to browse it, may now have that content surfaced directly into a Copilot-generated summary.

Pre-Rollout Governance Checklist

- ☐ Data access has been reviewed — permissions reflect who should currently have access, not just historical grants nobody has cleaned up.
- ☐ Sensitivity labels are applied consistently to financial models, board materials, and other high-sensitivity content.
- ☐ Data loss prevention (DLP) policies are configured to catch inappropriate sharing of labelled financial data through Copilot-assisted drafts.
- ☐ A monitoring process exists for reviewing Copilot usage patterns and flagged incidents on an ongoing basis, not only at initial rollout.
- ☐ Retention and eDiscovery policies account for Copilot-generated content, not only original source documents.
- ☐ ERP connector permissions mirror existing segregation-of-duties controls rather than granting broader access for convenience.

Regulated Environments

Organisations operating under specific regulatory frameworks — SOX controls, financial services compliance regimes, or sector-specific rules — should treat Copilot deployment as a control change requiring its own review, not a simple licensing decision. For regulated financial institutions specifically, Copilot Studio can be used to build custom compliance-checking agents — for example, an internal agent that checks transactions against defined policy rules — included as part of a standard Copilot licence for internal, non-customer-facing use.

Managing Multiple Agents Over Time

As finance teams adopt more than a single Copilot experience — core Copilot, Finance Agents, custom Copilot Studio agents — a dedicated governance layer becomes more important than managing each individually. Organisations running multiple agents across the enterprise increasingly use a centralised agent management platform to maintain oversight, consistent policy enforcement, and usage visibility across all of them, rather than treating each agent's governance as a separate, one-off exercise.

A NOTE ON HOW FAST THIS IS MOVING

Microsoft has iterated on Copilot for Finance multiple times within a single year, adding capabilities like Skills and new data connectors well after initial launch. Revisit this guide's specifics against current Microsoft documentation before any significant rollout decision — the underlying principles (licensing layers, review discipline, permission inheritance) will age well; the exact feature list will not.

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COPILOT FOR FINANCE ROLLOUT SUPPORT

For a tailored Copilot for Finance rollout plan covering your specific ERP, team structure, and governance requirements — a bespoke proposal is available on request.

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